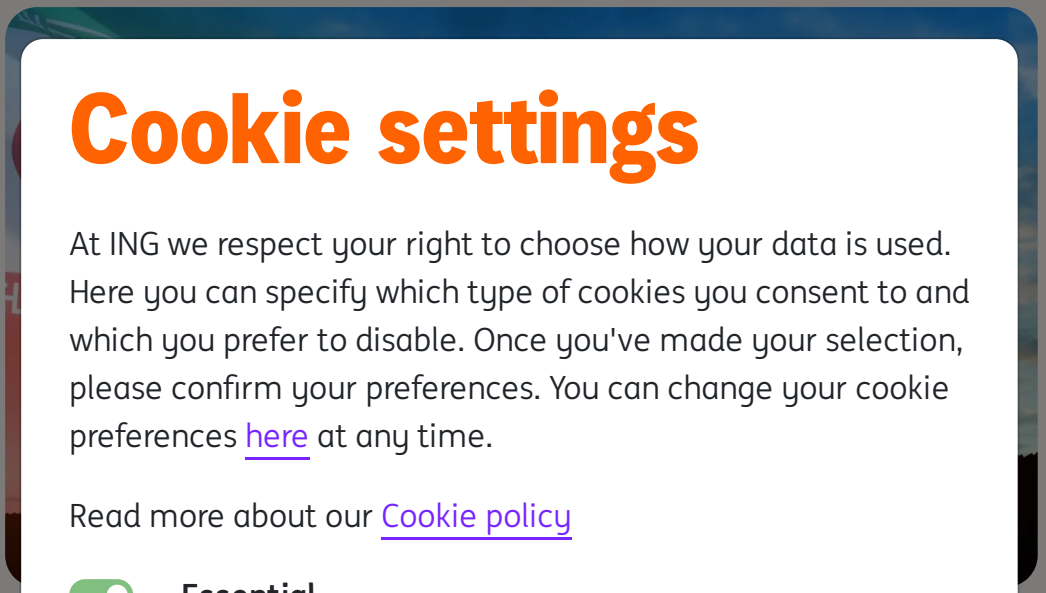
Oil and gas sold off yesterday amid positive signs for US-Iran talks ahead of today's US midterm elections




Warren Patterson and Ewa Manthey



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we've seen this before with nothing materialising, positive signals appear to be coming from both the US and Iran. President Trump responded "no" to a question on whether he would strike Iran following the midterm elections. Iran's president said that the government has been given more authority from the country's supreme leader to negotiate with the US. Despite these positive signals, it's probably too early to think escalation risks have passed. On Monday, the US carried out strikes on Iran's Qeshm Island, reportedly in response to Iran firing at a US aircraft.

What is clear, though, is that strong signals of progress in peace talks would mean more downside for prices. The market still has a

large risk premium baked in, particularly given the strong oil flows from the Persian Gulf.

European gas prices also came under significant pressure on the back of US-Iran hopes, with TTF settling 8.7% lower on the day at a little under EUR95/MWh. For the gas market, de-escalation is crucial, as LNG flows from the region haven't recovered as much as on the oil side. This leaves the market vulnerable as it heads deeper into the European heating season.

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